Did Canada's 2024 Tariff on Chinese Steel Change Where Canada Buys Its Steel?

Xiang Zheng

2026-10-11

Summary

In October 2024, Canada added a 25% tax on steel imported from China. This report asks whether that tax changed where Canada buys its steel.

What happened. China's share of Canada's steel imports fell from about 6% before the tax to under 4% afterwards. The drop also shows up when imports are measured by weight instead of value, and it is not explained by the usual ups and downs between seasons.

Was it the tax? The tax applied only to some steel products. China's share fell more for the taxed products than for the untaxed ones: about 2 percentage points more, or roughly a third of China's earlier share. Before the tax, the two groups of products moved in step, which makes this comparison more convincing.

How sure can we be? Not very. Only four months passed between the tax and the start of a 2025 trade dispute between the United States and Canada, which disrupted steel trade again. With so little clean data, the result sits right at the edge of what is usually accepted as more than chance: depending on the method, it lands just on one side or the other. Several checks point in the same direction, but none settles the question on its own.

What it does not show. It is unclear which countries took China's place. Japan's and South Korea's shares grew, but they were already growing before the tax. And a smaller Chinese share does not by itself mean the tax was good for Canada.

1. The question

Canada buys steel from abroad when it is cheaper than making it at home. A tax on imports from one country makes that country's steel more expensive, so buyers may switch to suppliers elsewhere. Economists call this switching "trade diversion"; it follows from the offshoring model taught in international trade courses.

On August 26, 2024, Canada announced a 25% tax on steel and aluminum from China, and the tax started on October 22, 2024. This report asks three questions:

1. Did China's share of Canada's steel imports fall after the tax?
2. If so, which countries gained?
3. Was the change caused by the tax, or by other trends and policies?

Several other steel policies followed soon after, which makes it harder to isolate the effect of the tax:

Date	What happened
Aug 26, 2024	Canada announces a 25% tax on Chinese steel and aluminum
Oct 22, 2024	The tax starts
Mar 12-13, 2025	The U.S. puts a 25% tariff on Canadian steel; Canada responds with a 25% tariff on U.S. steel
Jun 27, 2025	Canada limits how much steel can come in at normal tariff rates from countries without a trade agreement with Canada, including China and Taiwan (Japan, South Korea and Vietnam are not affected)
Jul 31, 2025	A 25% tax on goods containing steel first made in China
Aug 1, 2025	The import limits are tightened and extended to most trade-agreement partners other than the U.S. and Mexico
Dec 26, 2025	The import limits are changed again
Jun 28, 2026	The import limits are changed again

2. Data

I used Statistics Canada's monthly records of Canada's steel imports from January 2023 to August 2026. The records cover 167 types of steel products and show both the value (in Canadian dollars) and the weight of each import. I downloaded the totals for imports from all countries, plus separate figures for six major suppliers: China, the United States, South Korea, Japan, Vietnam and Taiwan.

3. Measuring each country's share

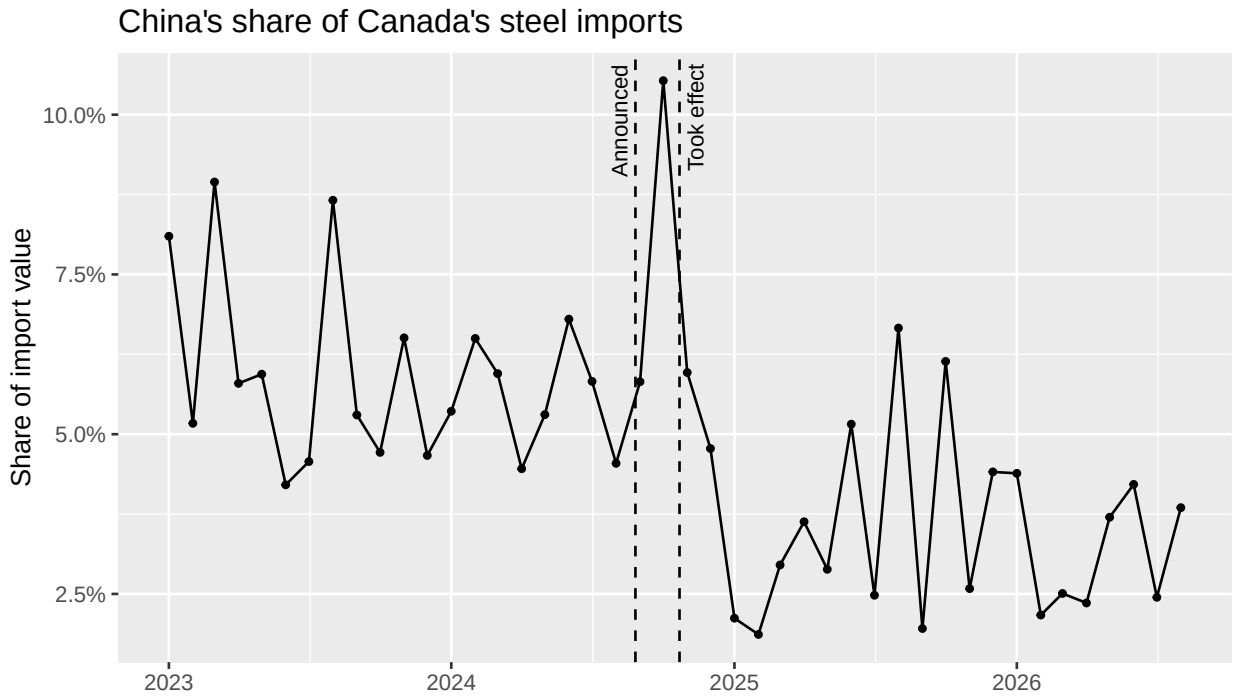
Each country's share is the value of steel Canada bought from it in a month, divided by the value of all the steel Canada imported that month. I also calculate the same share by weight.

As a check, the six suppliers together account for between 60% and 82% of Canada's steel imports in every month, so the figures add up sensibly.

Table 1: Share of Canada's monthly steel imports supplied by the six countries together

Minimum	Average	Maximum
60.4%	68.8%	82.0%

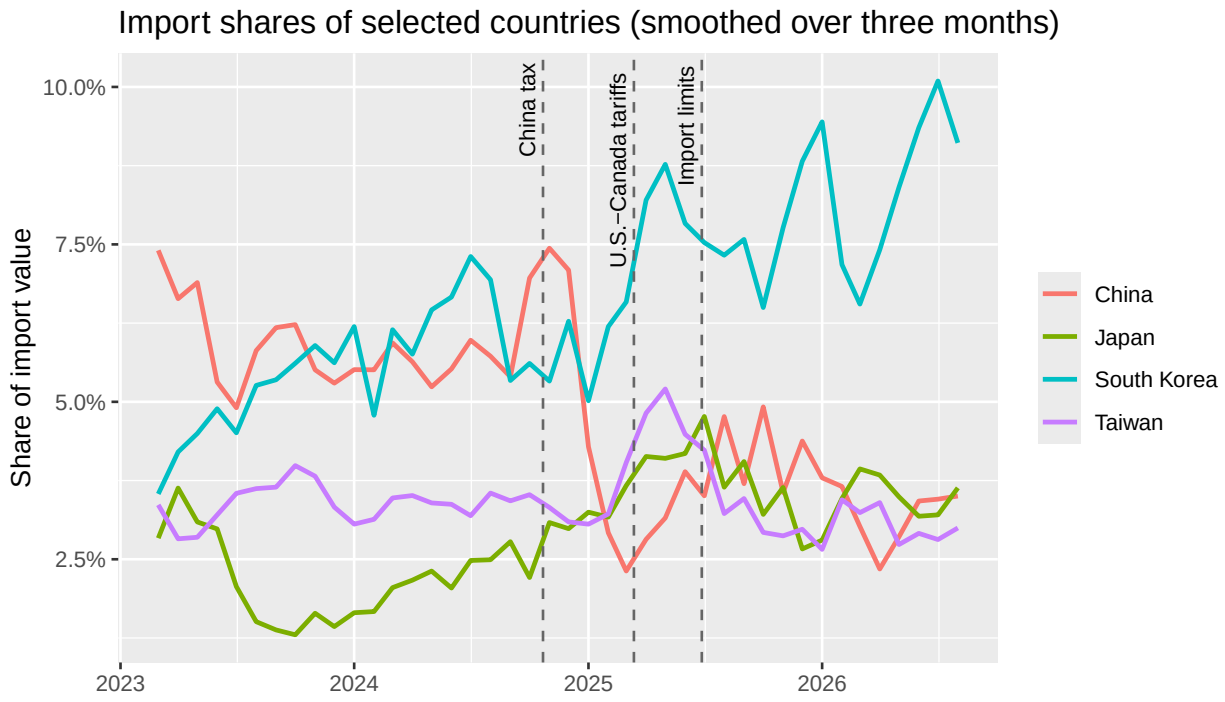
4. China's share over time



Before the tax, China's share moved between about 4% and 9%, drifting down in 2023 and sitting around 5% to 6% for most of 2024. It jumped to about 10% in September 2024, between the announcement and the start of the tax. Section 11 shows a similar jump for steel products that were not taxed, so the spike was probably not importers rushing to buy before the tax. After the tax started, China's share fell to about 2% in early 2025 and has mostly stayed between 2% and 4.5% since.

5. Which countries gained?

To make the trends easier to see, the chart below smooths each line by averaging over three months. The United States is left out because its share, around 50%, is on a very different scale.



Japan's and South Korea's shares were already growing before the tax: Japan's from about 1.3% in late 2023 to about 3% by October 2024, and South Korea's from about 3.5% in early 2023 to about 6% to 7% in 2024. So their later gains cannot all be credited to buyers switching away from China.

6. Separating the tax from later policies

Because several policies changed after the tax, I split the period into five stages:

1. Before: January 2023 to July 2024
2. In between: August to October 2024, after the announcement but before the tax started
3. Tax only: November 2024 to February 2025
4. U.S.-Canada dispute: March to July 2025
5. Import limits: August 2025 to August 2026

The import limits were changed again in December 2025 and June 2026, so stage 5 is not uniform, and changes during that stage should be read with care.

Table 2: Average share of Canada's steel imports (by value) in each stage

country	1. Before	2. Transition	3. Surtax only	4. US tariffs	5. Quotas
China	5.9%	7.0%	3.7%	3.4%	3.6%
Japan	2.2%	2.2%	3.6%	4.4%	3.4%
South Korea	5.4%	5.6%	5.7%	7.9%	8.2%
Taiwan	3.4%	3.5%	3.2%	4.7%	2.9%
United States	52.0%	48.5%	53.2%	44.6%	49.9%
Vietnam	0.7%	0.3%	0.5%	0.7%	0.7%

- **China's share fell as soon as the tax started**, from 5.9% to 3.7%, and stayed around 3.5% afterwards. The later policies did not push it much lower.
- **Japan's share rose from 2.2% to 3.6%** during the tax-only stage, roughly matching China's drop. Because Japan's share was already rising, only part of this is likely to be buyers switching away from China.
- **The U.S. share fell later.** It was unchanged during the tax-only stage (about 53%) and dropped only during the U.S.-Canada dispute (about 45%), before recovering.
- **South Korea's and Taiwan's shares moved with the 2025 policies.** South Korea's share was flat during the tax-only stage and rose to about 8% from March 2025. Taiwan's share fell from 4.7% to 2.9% once the import limits applied to it; they did not apply to South Korea or Japan.
- **Vietnam's share stayed small and steady**, so there is no clear sign of Chinese steel being sent to Canada through Vietnam.

7. Is it just the season?

The tax-only stage falls in winter, and steel buying can vary by season, so I compare the same winter months one year apart.

Table 3: Same winter months, one year apart (share by value)

country	Nov 2023 - Feb 2024 (before the tax)	Nov 2024 - Feb 2025 (with the tax)
China	5.8%	3.7%
Japan	1.7%	3.6%
South Korea	5.6%	5.7%
United States	52.6%	53.2%

In the same winter months, China's share fell from 5.8% to 3.7%, while South Korea's and the United States' shares barely changed. A normal seasonal pattern cannot explain China's drop. Japan's share rose from 1.7% to 3.6%, but part of that continues its earlier rise.

8. Is it just prices?

Steel prices changed a lot over this period, so a falling value share could partly reflect cheaper Chinese steel rather than less of it. Here is the same comparison by weight:

Table 4: Same winter months, one year apart (share by weight)

country	Nov 2023 - Feb 2024 (before the tax)	Nov 2024 - Feb 2025 (with the tax)
China	5.1%	3.2%
Japan	0.7%	1.9%
South Korea	6.0%	6.3%
United States	51.4%	51.0%

The drop also shows up by weight: China's share fell from 5.1% to 3.2%, and Japan's rose from 0.7% to 1.9%. Japan's share by value is much higher than its share by weight, which suggests that

steel from Japan costs more per tonne. Because a change in the mix of products can move value and weight shares differently, this check makes a pure price explanation less likely but cannot rule it out.

9. Taking seasons and later policies into account together

Here I estimate how much China's share changed after the tax, after removing the usual seasonal pattern and allowing for the later U.S.-Canada dispute and import limits. The months between the announcement and the start of the tax are left out.

The tables report a **p-value** for each estimate. It measures how easily ordinary month-to-month swings alone could produce a change as large as the one observed. By convention, a p-value below 0.05 is treated as unlikely to be chance. Because each month's figure is linked to the previous month's, I report two versions: the standard calculation, and one that allows for this link between nearby months.

Table 5: Change in China's share linked to each policy, after removing seasonal patterns (41 months)

Policy	Change in China's share (points)	Likely range: low	Likely range: high	p-value (standard)	p-value (allowing for linked months)
China tax	-2.410	-3.846	-0.974	0.010	0.002
U.S.-Canada dispute	0.105	-1.285	1.495	0.925	0.878
Import limits	-0.268	-0.940	0.404	0.741	0.420

After taking seasons and later policies into account, China's share is about 2.4 percentage points lower after the tax (for example, a fall from 6% to 3.6% is a drop of 2.4 points). Both versions of the calculation suggest this is unlikely to be chance alone. The U.S.-Canada dispute and the import limits show no clear additional effect on China's share.

Allowing for a long-term drift

China's share was already drifting down in 2023, so I repeat the calculation allowing for a steady long-term drift.

Table 6: Effect of the tax with and without allowing for a long-term drift

Version	Change in China's share after the tax (points)	p-value (standard)	p-value (allowing for linked months)
Without long-term drift	-2.410	0.010	0.002
With long-term drift	-1.097	0.372	0.217

Once the drift is allowed for, the estimated drop shrinks to about 1.1 points and could easily be chance. With so few months after the tax, it is hard to tell a steady drift apart from a sudden drop. Allowing for the drift may also overcorrect, since China's share was roughly flat through 2024 and then fell sharply. This is why Section 11 uses a different approach: comparing taxed and untaxed products over the same months.

Checking the range of uncertainty by reshuffling the data

Another way to judge uncertainty is to reshuffle the data many times and see how much the estimate changes. A simple reshuffle treats each month as independent. A better version reshuffles blocks of four consecutive months, so that months that belong together stay together.

Table 7: Likely range for the effect of the tax, calculated four ways

Method	Likely range: low (points)	Estimate (points)	Likely range: high (points)
Standard formula	-4.18	-2.41	-0.64
Formula allowing for linked months	-3.85	-2.41	-0.97
Simple reshuffle	-4.94	-2.41	0.11
Reshuffling blocks of 4 months	-4.56	-2.41	0.33

With the simple reshuffle, the likely range for the drop runs from -4.9 to 0.1 points; with blocks of four months, it runs from -4.6 to 0.3 points. Both ranges just include zero, so this approach cannot rule out that the drop was chance.

10. Two ways of averaging

China's share over a period can be measured in two ways: as the average of its monthly shares, which counts every month equally, or as China's total sales divided by total imports over the whole period, which gives more weight to busy months.

Table 8: China's share measured two ways

Period	Average of monthly shares	Total from China / total imports
Nov 2023 - Feb 2024	5.8%	5.8%
Nov 2024 - Feb 2025	3.7%	3.7%

Both methods give the same result (5.8% before and 3.7% after), so the finding does not depend on how the shares are averaged.

11. Comparing taxed and untaxed steel products

The tax did not cover every steel product. Of the 167 product types in the data, 130 were on the government's list and 37 were not. I checked each product against the official list; every listed item matches exactly one product type in the data.

The 37 untaxed product types are:

- 30 kinds of raw materials, such as pig iron, metal alloys used in steelmaking, scrap and iron powder;
- 7 kinds of finished steel, such as certain bars, angles and shapes.

If the tax caused China's share to fall, the drop should appear in taxed products but not in untaxed ones. Comparing the two groups month by month also cancels out anything that affected both groups at the same time, such as overall steel prices or Canadian demand.

Table 9: Taxed and untaxed products before the tax (Jan 2023 - Jul 2024)

Group	Product types	Imports from all countries (C$ billion)	Imports from China (C$ billion)	China's share
Not on list	37	1.630	0.077	0.047
On surtax list	130	18.415	1.113	0.060

Table 10: The seven untaxed finished-steel products, imports Jan 2023 - Jul 2024

Product code	Imports from all countries (C$ million)	Imports from China (C$ million)
7214.10	15.8	0.5
7216.61	38.1	3.4
7216.69	3.9	0.1
7216.91	21.6	7.4
7220.11	16.8	1.6
7228.10	11.6	0.9
7228.80	29.9	2.5

Before the tax, China supplied 6.0% of taxed products and 4.7% of untaxed products. The untaxed group is much smaller (about C$1.6 billion of imports over 19 months, compared with C$18.4 billion), so its monthly figures jump around more.

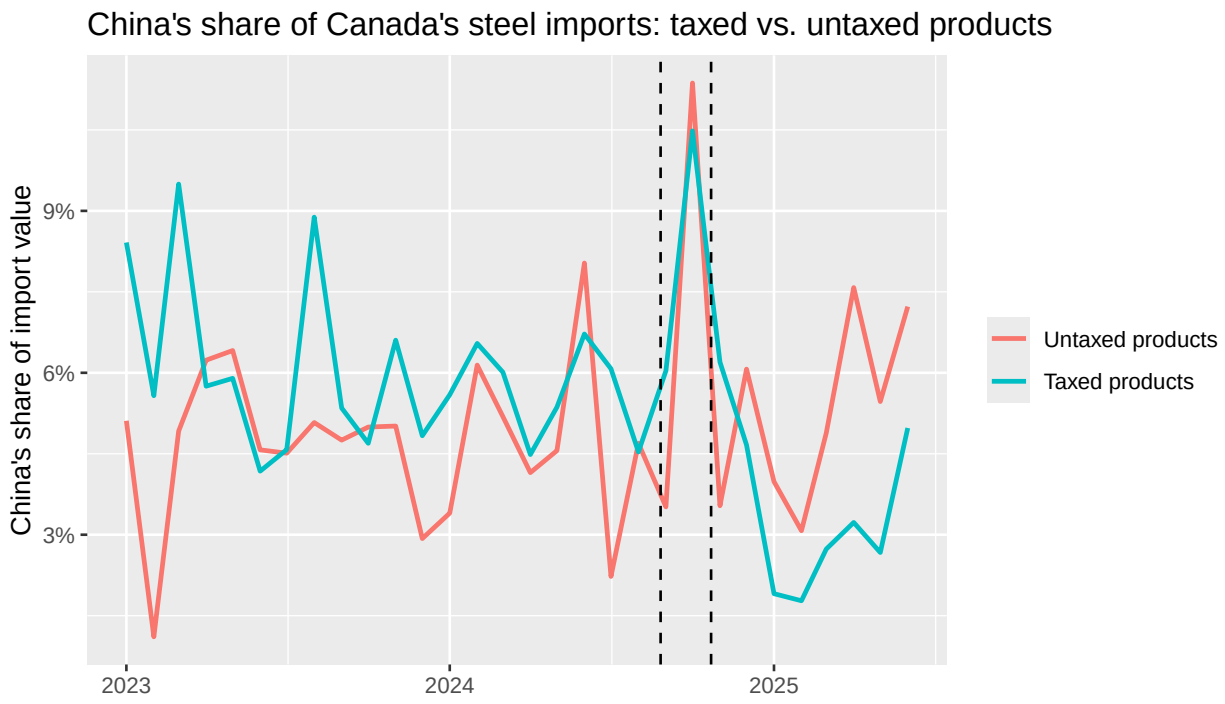


Table 11: How much more China's share fell for taxed products than for untaxed products

Months used	Extra drop for taxed products (points)	Likely range: low	Likely range: high	p-value (standard)
Jan 2023 - Jan 2025	-1.63	-4.13	0.88	0.19
Jan 2023 - Feb 2025 (main)	-1.88	-4.05	0.29	0.09
Jan 2023 - Jun 2025	-3.06	-4.71	-1.42	0.00

Before August 2024, China's shares in the two groups moved roughly together, between about 4% and 7%. Both jumped in September 2024, so that jump was not specific to taxed products. After the tax started, China's share of taxed products fell to about 2% to 3% and stayed there, while its share of untaxed products returned to around 4% to 7%.

The main comparison uses only the four months after the tax and before the U.S.-Canada dispute. It finds that China's share of taxed products fell by about 1.9 percentage points more than its share of untaxed products. Using months up to June 2025 gives a larger drop of about 3.1 points, but that period includes the dispute, when Canada also put tariffs on U.S. steel, so other changes could be mixed in.

February 2025 may already have been affected, because the U.S. announced and then paused tariffs on Canadian goods in early February and announced steel tariffs on February 10. Ending the comparison in January 2025 gives a similar drop of about 1.6 points, so February does not drive the result.

Allowing for links between months

The p-values in the table above treat each month as unrelated to the next. In reality, China's share in one month is linked to the month before, which can make the standard calculation misleading. Here I repeat the comparison with a calculation that allows for this. The estimated drops stay the same; only the measure of uncertainty changes.

Table 12: The same comparison, allowing for links between months

Months used	Extra drop for taxed products (points)	Likely range: low	Likely range: high	p-value (standard)	p-value (allowing for linked months)
Jan 2023 - Jan 2025	-1.626	-3.557	0.304	0.191	0.094
Jan 2023 - Feb 2025 (main)	-1.882	-3.604	-0.161	0.086	0.034
Jan 2023 - Jun 2025	-3.061	-4.826	-1.297	0.001	0.001

With this calculation, the main comparison's p-value falls below 0.05, and the comparison through June 2025 is even clearer. This should not be over-read. With only about two years of monthly data, this calculation is itself approximate and can be too optimistic, and the reshuffling check in Section 9 still could not rule out chance. The fairest summary is that the main result sits right at the edge: depending on the method, it falls just on one side or the other of the usual 0.05 line.

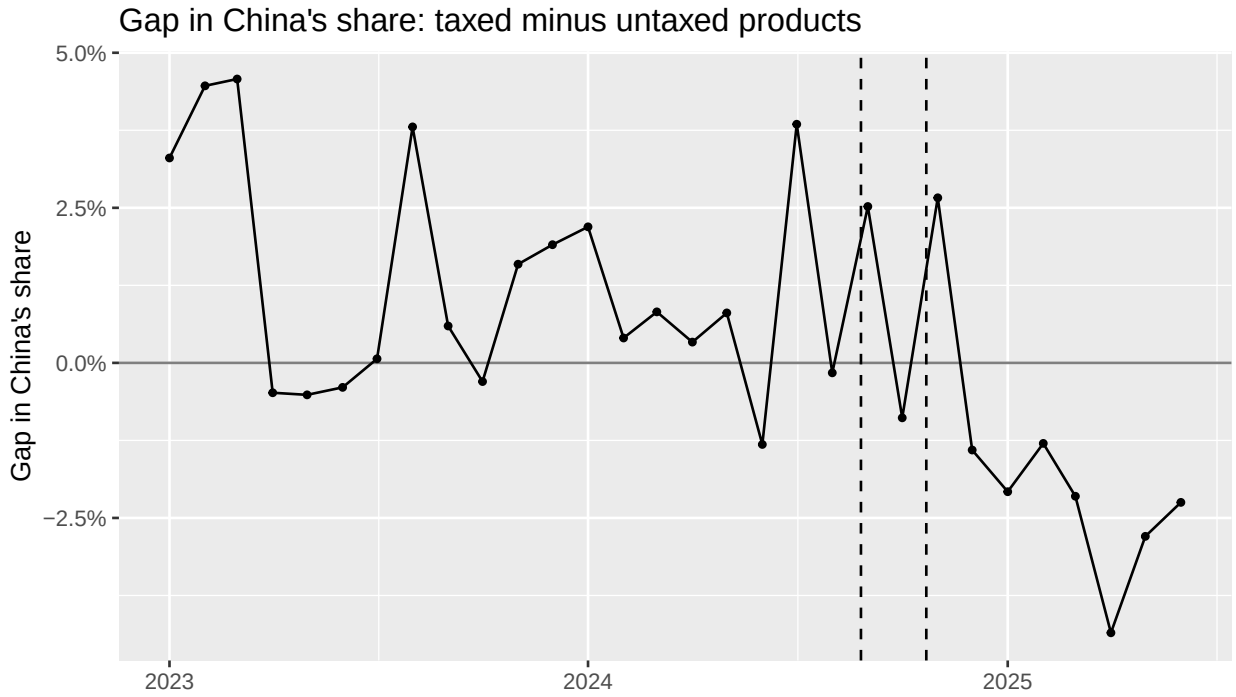
Did the two groups move together before the tax?

This comparison only works if China's shares in taxed and untaxed products would have moved together without the tax. That cannot be proven, but two checks on the period before the tax (January 2023 to July 2024) can reveal problems:

1. **Was the gap already changing?** If the gap between the groups was steadily widening or narrowing before the tax, that would be a warning sign.
2. **A fake start date.** If I pretend the tax started in January 2024 and use only data from before the real tax, I should find no effect.

Table 13: Checks on the period before the tax (Jan 2023 - Jul 2024)

Check	Size (points)	p-value
Change in the gap per month	-0.087	0.304
Fake tax start in January 2024	-0.539	0.459



Before the tax, the gap between the two groups changed by only about 0.09 points per month, and the fake start date shows a change of only about 0.5 points. Both could easily be chance, so neither check finds a warning sign. Two cautions apply: with only 19 months, these checks can catch only fairly large differences, and if the small downward drift in the gap were real and continued, it would explain part of the measured drop.

A closer comparison group: untaxed finished steel

Most untaxed products are raw materials, which may be bought for different reasons than the finished steel on the tax list. As a check, I repeat the comparison using only the seven untaxed finished-steel products. They are more similar to the taxed products, but the group is much smaller, so its figures jump around more.

Table 14: Taxed products and untaxed finished steel before the tax

Group	Imports from all countries (C$ million)	China's share
Not on list	137.639	0.118
On surtax list	18414.597	0.060

Table 15: Comparison with untaxed finished steel only

Months used	Extra drop for taxed products (points)	Likely range: low	Likely range: high	p-value (allowing for linked months)
Jan 2023 - Jan 2025	-4.177	-8.489	0.134	0.057

Months used	Extra drop for taxed products (points)	Likely range: low	Likely range: high	p-value (allowing for linked months)
Jan 2023 - Feb 2025 (main)	-4.563	-8.462	-0.664	0.024
Jan 2023 - Jun 2025	-6.817	-10.938	-2.696	0.002

With untaxed finished steel as the comparison, China's share of taxed products fell by about 4.6 points more in the main period and about 6.8 points more through June 2025. The drop is in the same direction as before but larger. This group is very small (about C$140 million of imports before the tax), and China already supplied twice as large a share of it. Chinese exporters may also have shifted some sales toward these similar but untaxed products, which would make the measured effect too large. So I treat this as a check rather than the main result.

12. Limitations

- **Very little clean data.** Only four months separate the tax from the U.S.-Canada dispute, so the cleanest estimates are uncertain. February 2025 may already reflect worries about U.S. tariffs.
- **Long-term drift.** Looking at China's share on its own, the estimated drop shrinks and could be chance once a steady long-term drift is allowed for. Comparing taxed and untaxed products avoids this problem only if the two groups would otherwise have moved together. The checks found no sign that they would not, but they can catch only fairly large differences.
- **Comparison group.** Most untaxed products are raw materials that serve different buyers from finished steel. Using only untaxed finished steel gives a larger drop in the same direction, but that group is very small and may have picked up some Chinese sales diverted from taxed products.
- **Uncertainty.** Each month's figure is linked to the previous month's. I used calculations that allow for this, but with so few months after the tax, all measures of uncertainty are approximate.
- **Coverage.** The tax also applies to some steel products not studied here, such as pipes and tubes.
- **Country of origin.** Customs records show where goods were made. If Chinese steel was processed or shipped through another country, it may be recorded under that country. Canada's July 2025 rule on steel first made in China suggests this was a concern.
- **What the results do not show.** A lower Chinese share does not mean the tax was good for Canada overall. I did not look at Canadian steel production, jobs, costs for businesses that use steel, or prices paid by consumers.
- **Complete records, not a sample.** Customs data cover every import rather than a survey sample, so the uncertainty comes from month-to-month swings, not from sampling.

13. Conclusion

The results fit the basic economic idea that making one supplier more expensive pushes buyers toward others. China's share of Canada's steel imports fell sharply when the tax started. The drop also shows up by weight, is not a normal seasonal pattern, and happened mainly in the products the tax covered. My best estimate is that the tax reduced China's share of taxed products by about

2 percentage points, roughly a third of its earlier share, with estimates ranging from about 1 to 3 points depending on the method. The evidence is suggestive rather than conclusive: with only four clean months after the tax, the main result sits right at the edge of what is usually accepted as more than chance.

It is harder to say where China's lost share went. Japan's and South Korea's shares rose, but both were already rising before the tax, and later changes in the U.S., South Korean and Taiwanese shares line up with the 2025 trade dispute and import limits. Separating the tax from these overlapping trends and policies was the hardest part of this analysis.

Technical notes

For readers familiar with the methods:

- **Main design:** difference-in-differences comparing 130 listed and 37 unlisted six-digit HS products (chapter 72), with month fixed effects. Main window (January 2023 to February 2025): -1.9 percentage points; p = 0.086 with OLS standard errors and p = 0.034 with Newey-West standard errors (3 lags). Window ending January 2025: -1.6 points (Newey-West p = 0.094). Window ending June 2025: -3.1 points (Newey-West p = 0.001).
- **Pre-trend checks (January 2023 to July 2024):** linear trend in the listed-minus-unlisted gap of -0.09 points per month (p = 0.30); placebo treatment in January 2024 of -0.5 points (p = 0.46).
- **Alternative control group** (seven unlisted finished-steel products): -4.6 points in the main window (Newey-West p = 0.024).
- **China-only time series** with calendar-month fixed effects and cumulative policy indicators: surtax coefficient -2.4 points (OLS p = 0.0096; Newey-West p = 0.002); with a linear trend -1.1 points (Newey-West p = 0.22). Moving block bootstrap (block length 4) 95% interval: -4.6 to +0.3 points.
- **Other checks:** same-season comparison, tonnage shares, and a ratio estimator compared with the mean of monthly shares.

Data sources

- Statistics Canada. Canadian International Merchandise Trade Web Application. https://www150.statcan.gc.ca/n1/pub/71-607-x/71-607-x2021004-eng.htm
- Department of Finance Canada (2024). Final list of steel and aluminum products from China that will be subject to a 25 per cent surtax. https://www.canada.ca/en/department-finance/news/2024/10/final-list-of-steel-and-aluminum-products-from-china-that-will-be-subject-to-a-25-per-cent-surtax.html
- Department of Finance Canada (2025). Canada responds to unjustified U.S. tariffs on Canadian steel and aluminum products; Tariff-rate quotas on imports of steel mill products.
- Global Affairs Canada (2026). Consultations on the tariff-rate quotas on certain steel goods (amendment dates). https://international.canada.ca/en/global-affairs/consultations/trade/2026-07-09-steel-goods